June 18, 2026

Via Email: rule-comments@sec.gov

Vanessa Countryman
Secretary
Securities and Exchange Commission
100 F Street, NE
Washington, D.C. 20549-1090

RE: Semiannual Reporting, File No. S7-2026-15

Dear Ms. Countryman:

I am writing on behalf of Arthur J. Gallagher & Co. ("Gallagher," "we" or the "Company") to comment on the Commission's recent rule proposal on semiannual reporting. We appreciate the Commission's efforts to streamline the disclosure process, and we thank you for the opportunity to provide our input.

1. We Support Semiannual But Would Also Support "Triannual" Reporting

We fully support the Commission's proposal to reduce reporting frequency; however, the public debate surrounding this issue appears to be limited to only two options: quarterly and semiannual. While many long-term investors support a move to semiannual reporting, we have seen press reports of certain investors expressing reservations, and many investors expressed concern when the Commission solicited comment on this idea in 2018. We believe there is a third alternative that also merits consideration, which may prove satisfactory to investors concerned about a move to semiannual reporting – **a "triannual" reporting framework**.

In our view, triannual reporting – i.e., reporting every four months instead of every three months – would meaningfully reduce the burden on companies and provide a reasonable compromise for investors concerned about a move to semiannual reporting. A triannual framework would simply add one month to each reporting period. This middle ground approach could drive material cost savings through the elimination of a full quarterly reporting cycle and support a reduction in potential managerial short-termism while maintaining a regular cadence of material disclosure for investor benefit. Moreover, triannual reporting may strike a better balance between companies' interests and investors' interests; and if it is widely adopted, it would promote better comparability among companies as compared to optional semiannual reporting.

Our support of a reduction in reporting frequency should not be misunderstood as opposition to transparency for investors. An illustration of this point relates to our "quiet periods" around earnings releases. During quiet periods, which generally last for a month, our interactions with current and prospective investors are restricted. A reduction in reporting frequency would reduce the number of quiet periods and create an opportunity for more continuous dialogue with investors regarding our business strategy. If even one quiet period was eliminated per year, this would open up significant additional time for us to interact with the investment community.

Therefore, we believe a move to triannual reporting is a strong middle ground opportunity that could alleviate the burden on reporting companies while also assuaging investors' and other stakeholders' concerns about losing access to the material, periodic information provided in the current quarterly reporting regime. To implement this idea, the Commission could rename the proposed Form 10-S as "Form 10-T."

2. Optionality Reduces the Potential Usefulness of Reduced Reporting Frequency

We believe that mandating a reduction in reporting frequency, rather than making it optional, would more meaningfully reduce the reporting burden for issuers. Without a mandate, the move from quarterly to a less-frequent cadence presents a collective action problem. Within industry groups, we believe there will be understandable pressure from investors for uniformity in reporting frequency. We expect many issuers that would benefit from a reduction in reporting frequency, and whose investors would support such a move, will be unduly influenced to continue reporting on a quarterly cadence to match the frequency of their peer companies who may have their own particular reasons for reporting on a quarterly cadence. Moreover, investors themselves can benefit from less frequent reporting, as it would afford them additional quality time to more thoroughly analyze and digest the information contained in each report rather than reacting to a continuous stream of quarterly disclosures.

In a mandatory semiannual or triannual reporting framework, issuers that wish to report their financial results to their investors more frequently will still be able to do so via interim earnings releases.

Accordingly, we urge the Commission to consider removing optionality as a feature of its proposed rules.

3. Cooling-Off Periods Should Be Adjusted to Align with Reduced Reporting Frequency

Another relevant concern of our company pertains to the usage of 10b5-1 plans in connection with reduced reporting frequency. We respectfully recommend that, in connection with any final rule, the Commission revisit Rule 10b5-1(c) to **eliminate or substantially streamline the mandatory cooling-off periods** applicable to trading plans. This targeted reform would complement a semiannual or triannual reporting regime and would better align insider trading safeguards with modern disclosure practices.

In 2022, the Commission amended Exchange Act Rule 10b5-1 to introduce mandatory cooling-off periods (up to 90–120 days for officers and directors) ostensibly to mitigate opportunistic plan adoption while in possession of material nonpublic information ("MNPI"). While those requirements were calibrated in the context of a quarterly reporting cadence, they risk producing unintended and disproportionate constraints if issuers transition to semiannual reporting. Under a semiannual reporting schedule, issuers that adopt semiannual reporting will likely be required to implement longer blackout periods around the preparation of interim and annual reports due to the aggregation of financial results over a longer period and the increased significance of each disclosure event. These longer blackout windows, combined with existing cooling-off periods, could materially delay insiders' ability to establish or modify trading plans, in many cases effectively precluding plan adoption and insider sales for extended portions of the year. The result would be to undermine the central policy objective of Rule 10b5-1: providing a reliable mechanism for insiders to achieve liquidity and diversification.

In a semiannual or triannual reporting regime, the marginal benefit of mandatory cooling-off periods becomes diminished by other practical constraints. First, blackout periods themselves function as de facto cooling periods restricting plan adoption to windows following broad public disclosure. These blackout periods may become longer under a semiannual or triannual reporting regime. Second, board-approved insider trading policies, pre-clearance procedures, and compliance oversight already govern plan adoption and modifications to ensure trading plans are not effected during periods where MNPI is undisclosed. Finally, Rule 10b5-1 continues to require that plans be adopted in good faith and not as part of a scheme to evade insider trading prohibitions, with enhanced SEC enforcement tools and disclosure requirements providing additional deterrence. Accordingly, the incremental investor protection provided by a mandatory cooling-off period is limited, particularly when balanced against the significant practical restraints presented by longer trading blackout periods.

We therefore recommend that the Commission eliminate the mandatory cooling-off periods in Rule 10b5-1(c)(1)(ii); or, in the alternative, replace the current fixed cooling-off requirements with a principles-based standard tied to issuer trading windows, such as permitting plan adoption only during an open trading window following public disclosure of interim period financial results.

This approach would preserve appropriate safeguards while restoring the practical utility of Rule 10b5-1 plans. It would also harmonize the rule with the Commission's broader objective, reflected in the semiannual rule proposal, of reducing unnecessary procedural burdens that do not meaningfully advance investor protection.

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In summary, we respectfully urge the Commission to (i) remove optionality as a feature of its proposed semiannual reporting framework, which we fully support, with mandatory "triannual" reporting as an acceptable alternative providing a middle ground between the current quarterly regime and the proposed semiannual framework, and (ii) in connection therewith, modernize Rule 10b5-1(c) by eliminating or streamlining its mandatory cooling-off periods.

We appreciate the opportunity to comment on this important initiative and commend the Commission for undertaking a review of its disclosure framework. We are available to discuss these matters further at the Commission's convenience. If you have any questions, or wish to set up a meeting to discuss our ideas further, please contact Sara Walsh, our Treasurer and Vice President – Finance & Investor Relations, at investor_relations@ajg.com.

Respectfully submitted,

Douglas K. Howell
Chief Financial Officer
Arthur J. Gallagher & Co.